Equities Portfolio Research

Equities — United States and Europe

Submitted to

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As of 24 June 2026 · Holding period: deployment to the December 2026 rebalancing · Coverage: United States and Europe

FS Student Hedge Fund

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Executive Summary

Halfway through 2026, the global economy is mostly driven by one dominant factor – the geopolitical situation caused by the war in Iran. The most significant outcome to note is the supply side energy shock burdening key central banks at their different cyclical starting points. The shock pushed inflation above target everywhere simultaneously and forced a synchronized hawkish turn: the ECB delivered its first hike since 2023, lifting the deposit rate to 2.25%, while the Federal Reserve held at 3.50–3.75% and removed any bias toward cuts. Thus, the current environment negatively affects those companies, whose value sits in future profits, while rewarding cheap, cash generative, rate-benefiting, and pricing power sectors.

This paper first presents the full underlying research: the global macro and rate environment, the US sector analysis, and the European sector analysis. Each part first includes its complete data set and figures and, second, synthesizes them into a single combined allocation. We construct the equity portion of the portfolio, which accounts for 100 percent of the portfolio, around a passive core of ETFs, approximately 60% of which consists of the broad U.S. and European markets, with the remaining approximately 40% consisting of thematic satellites: European banks, global defense, health care, consumer staples/food, energy, US financials, and a small rare-earths position.

The portfolio's regional breakdown is slightly skewed toward the U.S. ($\sim$55%) due to the growth momentum and liquidity of thematic sectors, which is offset by the discount in European asset valuations, the ECB's interest rate policy, which creates favorable conditions for banks, and the absence of a negative currency impact from the USD/EUR exchange rate on the euro-denominated fund. The portfolio's largest active holdings (energy and the defense industry) represent, in part, a volatile forecast on the duration of the energy crisis. However, at the time of writing this paper, that crisis is gradually subsiding, although not without the emergence of new risks.

A US–Iran interim ceasefire (a memorandum of understanding) was signed on 17 June, and front-month Brent futures fell back toward $80 by 19 June from a late March peak near $119. Nevertheless, it is hard to claim if it was the final accord in this long-standing global uncertainty, especially given that de-escalation is not yet settled: by 20–21 June Iran again declared the Strait of Hormuz closed, while US disputing that fact. Hence, we size energy down and reframe it as a hedge, while retaining defense on its more durable NATO/budget backlog logic due to its unreliability on the previously discussed factors with financing being solely driven by the treaty's budget commitments.

1. Methodology and Source Audit

All macro and instrument figures were cross checked against primary or institutional open sources. Three corrections emerged and are reflected throughout:

- **Fed:** Even though 17 June FOMC held 3.50–3.75%, its dot plot removed the bias toward cuts and pushed reductions into 2027–28; this was Kevin Warsh's first meeting as chair, and markets moved to price the next hike as early as October. (Federal Reserve; CNBC; Advisor Perspectives, June 2026.)
- **Peace path:** A 60-day ceasefire between the US and Iran signed on June 17 intended to pause the conflict and reopen the Strait of Hormuz. Oil markets responded immediately, which could be seen in front-month Brent futures dropping by roughly 8.5% in a week to around $80, and Goldman

Sachs cutting its Q4 price forecast to the same level. However, the physical spot price (as tracked by EIA/FRED) was still around $93 on June 11, a level recorded eight days before the ∼$80 futures print; the gap between the two therefore reflects the decline in prices over that week as the ceasefire firmed, rather than a lag between spot and futures markets on the same date. Nevertheless, the calm and greater confidence in how events would unfold did not last long: by June 20–21, Iran had once again announced the closure of the strait, and the U.S. responded by attempting to confound. Thus, a consensus was still lacking, and technical negotiations continued in Switzerland.

- **ECB:** confirmed +25bp to a 2.25% deposit rate effective 17 June, with 2026 growth cut to 0.8% and a further July hike seen as likely. (ECB statement, 11 June 2026; Capital Economics.)

The valuation premise holds: Europe trades at a 9–26% forward-P/E discount to the US with roughly double the dividend yield. For a euro-based fund the dollar's 2026 weakness against the euro considerably slows down the unhedged US exposure. (InvestingBrokers; eupersonalfinance.eu, 2026.)

2. The Global Macro and Rate Environment

The proximate cause of the 2026 inflation impulse is the Iran conflict and the disruption to oil and gas supply, including fears over the Strait of Hormuz. Brent began the year near $66, climbed to a peak around $119 at the end of March, then eased back as peace expectations built. It was followed by front-month futures reaching roughly $80 by 19 June, although EIA/FRED was still around $93 ($92.84) on 11 June. This round-trip is the single most important macro development of the year: it lifted headline inflation everywhere, fed into core measures with a lag, and introduced two-sided risk, since any breakdown or consolidation of the peace process moves the global price level sharply either way.

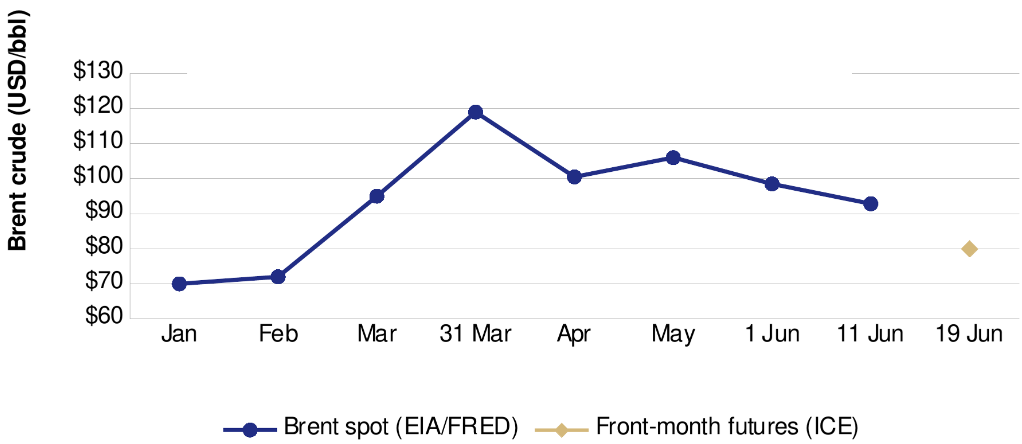

Figure 1: Brent crude during the Middle East conflict (2026)

Sources: EIA/FRED (spot); ICE/Investing.com (front-month futures).

2.1 Inflation above target across the major economies

The energy shock left inflation uncomfortably above the 2% objective everywhere. That brought about the US core PCE to rise from 3.0% in December 2025 to roughly 3.3% by April 2026. Euro-area headline HICP accelerated to 3.2% in May, the highest since 2023, with core at 2.5%. UK CPI ran around 3.3% with services inflation stabilizing near 4.5%. Long-run inflation expectations stayed comparatively well anchored, which can be comprehended as signal that investors read the spike as a supply-driven episode rather than a de-anchoring.

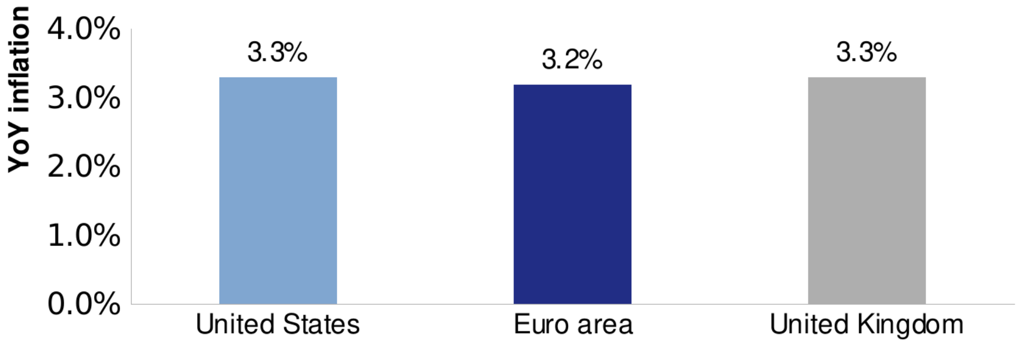

Figure 2: Inflation above target across major economies (2026)
Sources: BEA, Eurostat, ONS.

2.2 Divergence among the major central banks

The shared shock produced divergent responses. The Fed held its target range at 3.50–3.75%, with the conversation tilting toward a possible hike. The ECB raised by 25bp on 11 June, lifting the deposit rate to 2.25% — its first increase since September 2023 and a reversal of eight consecutive cuts. The Bank of England held at 3.75% with a hawkish split. The Bank of Japan, still the outlier on level, extended its gradual normalization with a 25bp hike to 1.00% on 16 June (a 7–1 vote) — its first increase since December and its highest policy rate since 1995. The euro area illustrates the dilemma most acutely: the bloc contracted slightly in Q1 2026, yet staff revised inflation up and growth down.

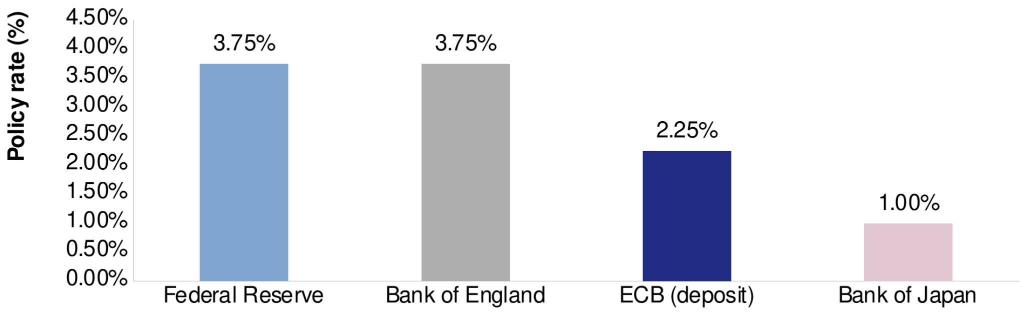

Figure 3: Major central bank policy rates (as of 20 June 2026)
Sources: respective central banks.

2.3 US policy path and the term structure

The dollar market anchors global financing conditions, which results in the US trajectory's outsized weight: having cut about 175 basis points across 2024–25, the Fed entered 2026 on hold, and the energy-driven reacceleration removed the basis for further easing. The Treasury curve normalized into a conventional upward slope, keeping the cost of term capital elevated worldwide.

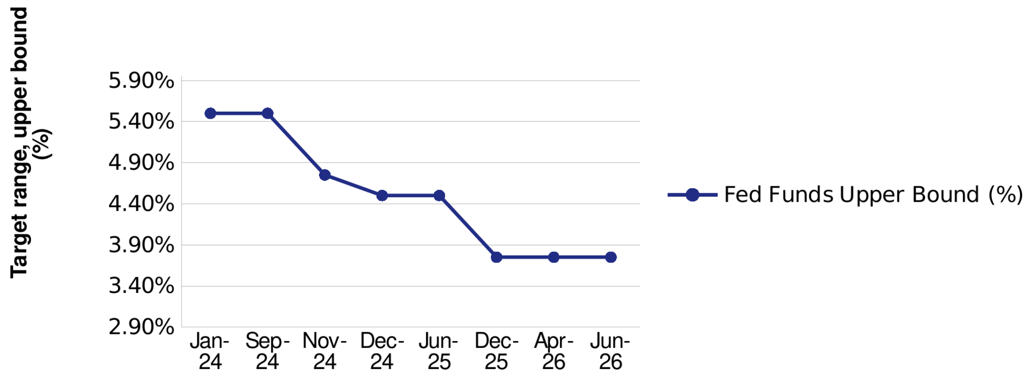

Figure 4: US federal funds target, upper bound (2024–2026)

Source: FOMC statements.

2.4 Financial conditions and outlook

Despite the hawkish backdrop, broad financial conditions remained comparatively benign: US high-yield credit spreads stayed compressed near 2.7 percentage points, well below crisis levels, and equities recovered on improving risk sentiment as de-escalation hopes grew. The central tension into H2 2026 is between still-easy financial conditions and a policy stance restrictive in intent. The dominant risk is two-sided and runs through energy: a durable settlement lets inflation resume falling and reopens the path to easing; renewed escalation around Hormuz could force central banks from holding into active tightening — leaving the global rate environment in a higher-for-longer regime with an unusually wide range of outcomes.

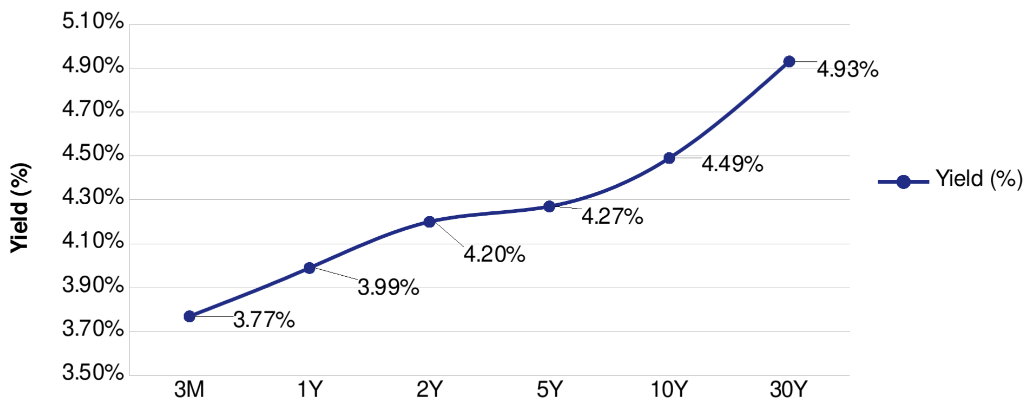

Figure 5: US Treasury yield curve (mid-June 2026)

Sources: US Treasury constant-maturity; Fed H.15.

3. United States — Equity Sector Research

The US economy is in a late-cycle regime: firm, accelerating growth and rising, sticky inflation, with manufacturing at a multi-year high and headline CPI above 4% on an oil-driven energy shock. The Fed holds at 3.50–3.75%; futures had priced meaningful hike risk by December with no cuts in sight. This higher-for-longer environment favors cheap, cash-generative, and defensive sectors over expensive, rate-sensitive ones.

3.1 Regime: policy, growth, inflation

- **Policy** — target range held at 3.50–3.75%; the forward curve priced a ∼59% probability of at least one hike by December (as of mid-June), with the priced probability of cuts near 1%. The stance shifted from neutral hold to hawkish hold within a month.
- **Growth** — ISM Manufacturing PMI reached 54.0 in May, a fifth month above 50 consistent with ∼2.2% annualised GDP; New Orders rose to 56.8. Payrolls added 172,000 vs ∼85,000 expected; unemployment held at 4.3%.
- **Inflation** — headline CPI rose 4.2% YoY in May, the fastest since 2023; energy was over 60% of the monthly gain. Core PCE reached 3.3% YoY in April, 130bp above target — sticky, not solely energy-driven.

Regime classification: growth rising, inflation rising — the reflation / late-cycle quadrant. It favors commodity-linked and cyclical sectors (Energy, Materials, Industrials) and defensives with pricing power (Staples, Health Care); it penalizes long-duration rate-sensitive sectors (Information Technology, Real Estate, Utilities as bond proxy).

3.2 US key macro indicators

Table 1: US key macro indicators

Indicator	Reading	Signal	Implication
Fed Funds Rate	3.50–3.75%	Hold (97.4% prob, Jun 17)	Higher-for-longer; hike risk by Dec
Dec 2026 hike probability	∼59%	Hawkish drift	No cuts priced; possible tightening
10-year Treasury yield	∼4.54%	Elevated	Headwind for rate-sensitive sectors
2s10s curve slope	+0.38%	Positive / steepening	Tailwind for bank NIM
US Dollar (DXY)	∼99.7	Firm, +1.8% MoM	Headwind for commodities, Materials
ISM Manufacturing PMI	54.0 (May)	Expanding (5th month)	GDP growth ∼2.2% annualised
New Orders sub-index	56.8	Rising from 54.1	Production momentum continues
Non-farm payrolls (May)	+172,000	Beat vs ∼85,000 exp.	Labor market firm
Unemployment rate	4.3%	Stable	No slack emerging
CPI (May, YoY)	+4.2%	Fastest since 2023	Inflation re-accelerating
CPI energy contribution	>60% of gain	Oil shock (Iran)	Geopolitical risk in headline
Core PCE (Apr, YoY)	+3.3%	Highest since late 2023	Underlying inflation sticky
Headline PCE (Apr, YoY)	+3.8%	2nd consecutive accel.	Broad price pressure

Sources: CME FedWatch; FRED; BLS; BEA; ISM. Data as of 13–16 June 2026.

3.3 US sector analysis

Each sector is assessed on valuation vs the ∼21× market multiple, earnings-revision direction, and regime fit. Calls are relative to the S&P 500. The valuation spread below is the starting point: Energy and Financials screen cheapest, while Information Technology and Consumer Discretionary carry the richest multiples and the greatest rate-sensitivity. These sector convictions are screened on US sector data but are implemented, per the PRIIPs constraint documented in Section 7, through UCITS vehicles that are predominantly European sector ETFs; the European sector analysis in Section 4.4 carries the corresponding convictions for the vehicles that ship, and only the US financials sleeve retains direct US sector exposure.

Table 2: US sector assessment relative to the S&P 500

Sector (ETF)	Call	Valuation vs market	Earnings / regime	Key risk
Energy (XLE)	OW	P/E 12.5× — cheapest	Rising with oil; favorable	Ceasefire collapses oil premium
Industrials (XLI)	OW	P/E 27× — expensive	Backlog >1 BTB; favorable	ISM rollover; budget delay
Health Care (XLV)	OW	P/E 18× — below market	Demographic; favorable	Drug pricing legislation
Consumer Staples (XLP)	OW	P/E 20× — at market	Food pricing power	Disinflation; GLP-1 drag
Materials (XLB)	OW†	P/E 18× — below market	Mixed; dollar headwind	Stronger dollar
Financials (XLF)	N/OW	P/E 15.5× — below market	NIM tailwind; favorable	Credit deterioration
Comm. Services (XLC)	N	P/E 16× — below market	Ad growth solid; neutral	Ad-spend cyclicality
Utilities (XLU)	N	P/E 18× — below market	AI power demand; balanced	Rising 10-year yield
Info. Technology (XLK)	N/UW	P/E 40× — most expensive	Strong EPS; unfavorable	Hawkish Fed compresses multiple
Consumer Discr. (XLY)	UW	P/E 30× — expensive	Worsening; unfavorable	Resilient-consumer surprise
Real Estate (XLRE)	UW	Yld 3.4% vs 4.5% 10y	Pressured; unfavorable	Fed pivot toward cuts

Sources: stockanalysis.com; S&P Global; FactSet. As of 16 June 2026.

3.4 US conviction ranking and portfolio weights

4. Europe — Equity Sector Research

European equities trade at a historic valuation discount to the US, a compelling setup for dividend-yield-oriented exposure; the STOXX 600 vs S&P 500 forward-earnings discount stood near 20%. On 11 June the ECB raised its policy rate 25bp to 2.25% in reaction to the energy-driven landscape, a restrictive shift that improves bank margins while penalizing rate-sensitive sectors. The European sleeve is built from passive funds and ETFs with targeted sector overweights in Banking, Energy, and Defense.

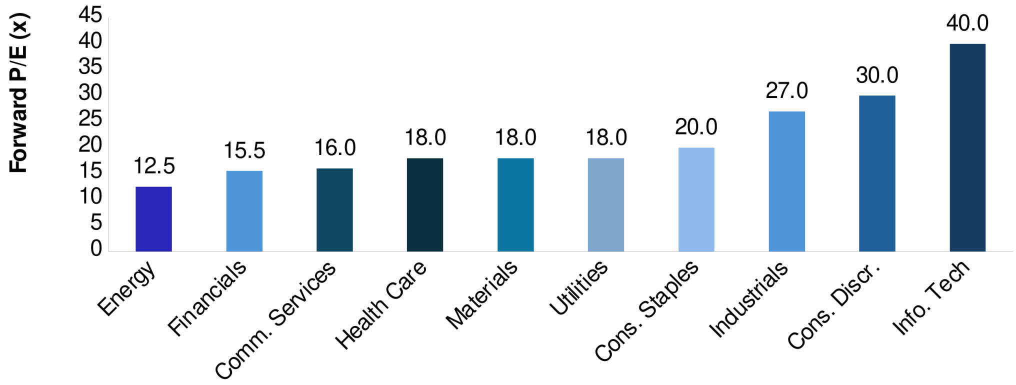

Figure 6: US sector forward P/E vs the market multiple
Sources: stockanalysis.com; S&P Global; FactSet.

Table 3: US conviction ranking and active tilts

#	Sector	Call & rationale	Active tilt vs S&P 500
1	Energy (XLE)	OW — cheapest sector; all lenses aligned; inflation hedge	+2.0
2	Industrials (XLI)	OW — defense backlog; NATO structural tailwind	+2.0
3	Health Care (XLV)	OW — best risk-adjusted: cheap, low rate-sensitivity, demographic	+2.5
4	Consumer Staples (XLP)	OW — defensive anchor; food pricing power	+2.0
5	Materials (XLB)	OW — rare-earths policy tailwind; dollar headwind limits to names	+1.0
6	Financials (XLF)	N/OW — curve re-steepening supports NIM; credit risk caps conviction	+1.0
7	Comm. Services (XLC)	N — lower-valuation tech proxy; advertising resilient	0.0
8	Utilities (XLU)	N — rate headwind balanced by AI power demand	0.0
9	Info. Technology (XLK)	N/UW — best EPS growth but richest multiple, highest rate-sensitivity	−6.0
10	Consumer Discr. (XLY)	UW — expensive; consumer squeezed by inflation + borrowing costs	−1.5
11	Real Estate (XLRE)	UW — most direct rate loser; yield below 10-year Treasury	−1.5

Source: S&P Dow Jones Indices, late May 2026.

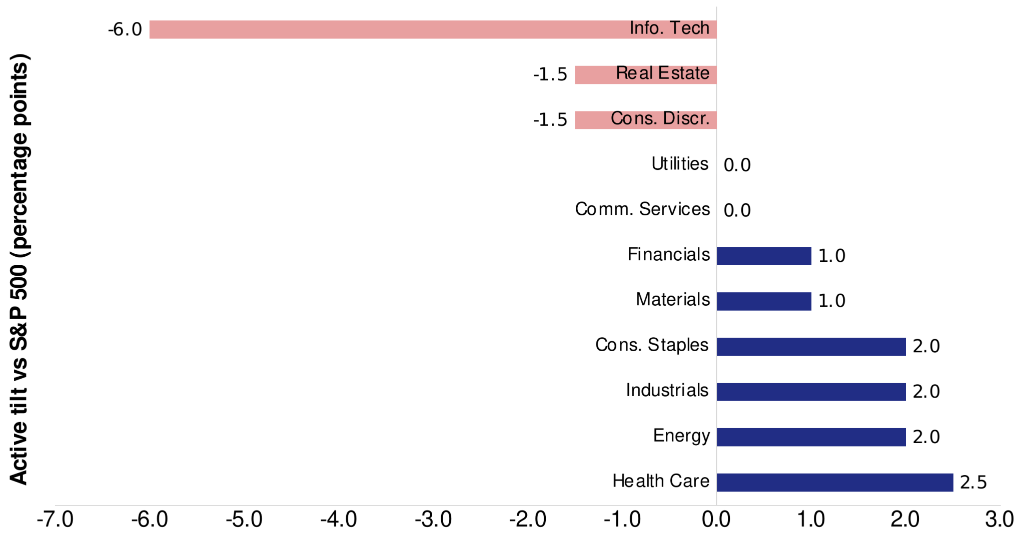

Figure 7: US sector active tilts — overweights vs underweights

4.1 Growth, fund flows, and sector rotation

Major European indices showed solid twelve-month growth (STOXX Europe 600 +18.6%, STOXX Europe 50 +20.0%). Fund flows underscored the momentum: Q1 2026 volume rose 19.4% QoQ (EUR 29.9bn) to EUR 184.2bn total, with equity funds drawing EUR 95.3bn (up from EUR 42.9bn in Q4 2025); passive funds and ETFs captured 65% of total flows. Rising AI skepticism drove EUR 23.3bn out of growth-focused funds in Q1 — capital rotating from Growth toward defensive, value, and dividend-yielding European assets.

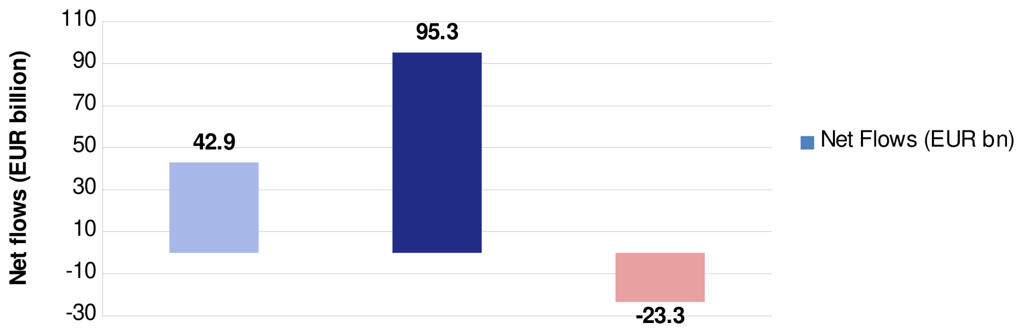

Figure 8: European fund flows: rotation into passive equity (2026)
Source: Morningstar Direct, data to 31 Mar 2026.

4.2 European key macro indicators

4.3 European fundamental valuation

4.4 European sector calls and conviction

4.5 European source-sleeve portfolio weights

This source-sleeve table reproduces the regional research note; where it differs from the combined portfolio in Sections 5 and 6, which uses EXSA for the Europe core, EXH1 for energy, and the HANetf NATO

Table 4: European key macro indicators

Indicator	Reading (2026)	Signal	Implication
ECB Policy Rate	2.25%	25bp hike (Jun 11)	Improved bank margins; RE headwind
STOXX Europe 600	+10.14% (6m)	Solid growth	Positive European momentum
Valuation Discount	19.98%	STOXX 600 vs S&P 500	Attractive for dividend-yield
Equity Fund Inflows	EUR 95.3bn	+122% vs Q4 2025	Strong interest; passive dominance
Growth Equity Funds	−EUR 23.3bn (Q1)	Rising AI skepticism	Rotation away from Tech/Growth

Sources: Morningstar; ecb.europa.eu.

Table 5: European fundamental valuation vs the US

Metric	STOXX Europe 600	S&P 500 (US)	Market implication
Forward P/E	18.02×	22.52×	∼20% discount on expected 12m earnings; attractive value entry
Dividend Yield	2.49%	1.05%	More than double the US payout; downside protection in volatile regimes

Sources: Reuters; macromicro.me; justETF.

Table 6: European sector calls

Sector	Call	Rationale & regime fit	Key risk
Financials (Value)	OW	Direct beneficiary of ECB hike to 2.25%; improves bank NIM — favorable	Sudden cuts in a recession
Energy & Defense	OW	Geopolitical uncertainty (US–Iran, Russia–Ukraine) favors contractors — favorable	Framework peace collapses risk premium
Real Estate	UW	Highly sensitive to financing costs; 2.25% weighs on valuations — unfavorable	Unexpectedly fast dovish ECB pivot
Consumer Discr.	UW	Higher rates lower demand, pressuring spending — unfavorable	Rapid recovery in domestic demand

Source: ecb.europa.eu.

Table 7: European source-sleeve portfolio weights

Sector / ETF	Call	Focus	Weight
iShares STOXX Europe 600 UCITS ETF	Core	Broad market	40%
iShares STOXX Europe 50 UCITS ETF	Core	Blue chips	20%
iShares STOXX Europe 600 Banks	OW	Financials / Value	20%
iShares MSCI Europe Energy Sector	OW	Energy	10%
iShares Europe Defence UCITS ETF	OW	Defense	10%

Source: regional research note.

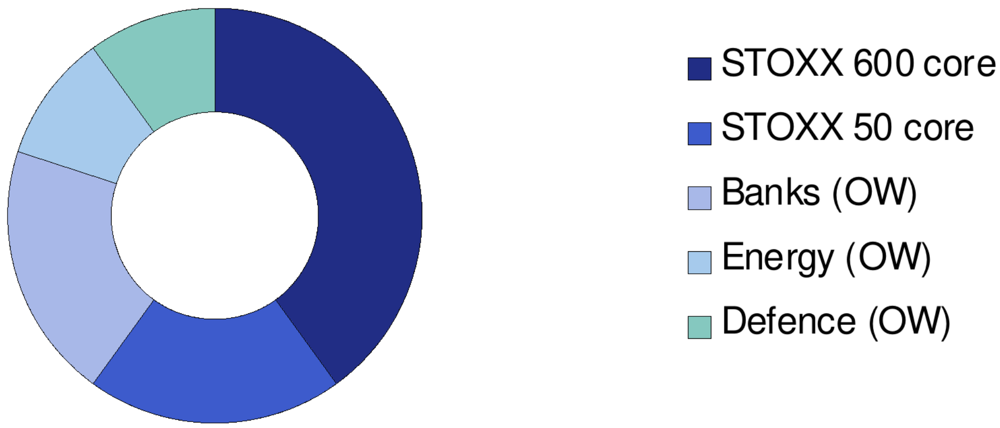

Figure 9: Source European sleeve allocation (regional note)

fund for defense, and carries no STOXX Europe 50 position, the Section 6 list is the one that governs deployment.

5. Synthesis: Combined Regime and Thesis

It is worth observing at the outset that the three analyses, however distinct in their framing, ultimately describe a single phenomenon: one global energy shock passing through three central banks at different points in the economic cycle. The United States finds itself in the rising-growth, rising-inflation quadrant typical of late-cycle reflation. The euro area, by contrast, occupies the falling-growth, rising-inflation territory that characterises mild stagflation. Hence, the shock itself is identical, but the cyclical positions are not, and that divergence has material consequences for sector selection.

In the American context, portfolio construction can afford to ride the cycle, although In Europe, the priority shifts to sorting those sectors that benefit from higher rates from those that suffer under them. Yet for all these regional differences, the two analyses converge on the same recommendations where the evidence is strongest. Banks and financials merit an overweight in both markets. In addition, real estate and expensive, long-duration technology merit an underweight in both.

$$\text{Stance} = f\,(\text{starting rate},\ \text{growth},\ \text{credibility risk})$$

5.1 Combined cross-regional conviction

The energy/defense decoupling. The source notes treated energy and defense as one geopolitical block, which have now decoupled. Defense rests on NATO's path toward 5% of GDP by 2035 and multi-year US budget backlog — visibility that survives a falling oil price. Energy rests directly on the oil premium, much of which unwound through mid-June as front-month futures fell toward \$80 — though the renewed Hormuz dispute on 20–21 June shows how quickly that premium can rebuild. We keep defense as a conviction overweight and demote energy to a smaller, tactical hedge against the ceasefire collapsing.

Rare-earths caveat. The liquid UCITS vehicle (VanEck) is China/Australia/US-heavy, so it imperfectly expresses the Western de-risking thesis; sized small (3%) with that mismatch flagged.

Table 8: Combined cross-regional conviction

Theme	Expression	Combined conviction	Status (June audit)
Banks / Financials	EU banks + US financials	Highest — NIM tailwind both regions	Strengthened
Defense	Global NATO-aligned ETF	High — budget backlog, not oil-dependent	Mostly intact
Health Care	Cheap defensive	Medium-high — best risk-adjusted defensive	Unchanged
Staples / Food	Pricing power	Medium	Unchanged
Energy	Oil & gas	Medium $\rightarrow$ reduced	Weakened
Rare Earths	Strategic-metals ETF	Low-medium — China-concentration caveat	Unchanged
Technology	(core only)	Underweight — richest multiple	Reinforced
Real Estate	(core only)	Underweight — rate-penalized both regions	Reinforced

5.2 Regional allocation

$$\text{US weight} \propto \frac{\text{growth momentum} + \text{theme liquidity}}{\text{valuation} + \text{FX drag}}$$

The US pulls weight through growth momentum and deeper theme liquidity; Europe through the ∼15–20% valuation discount, double the dividend yield, the ECB-rate tailwind to its large bank sector, and no FX drag for a euro fund. With the energy theme softened and FX cutting against unhedged US exposure, an overwhelming US tilt is weaker than a US-only read implies. We set ∼55% US / 45% Europe — a deliberate, moderate tilt. US positions are held unhedged as a known, accepted exposure.

6. Portfolio Construction

A passive broad-market core captures the valuation discount and market return at minimal cost; sector/thematic ETF satellites express the macro convictions while avoiding single-stock idiosyncratic risk.

Table 9: Recommended combined portfolio — 60% core / 40% satellites

Sleeve	Position	Weight	Rationale
Core	US broad market (S&P 500)	34%	Growth momentum; deepest, cheapest beta
Core	Europe broad market (STOXX 600)	26%	Valuation discount; income; no FX drag
Satellite	European banks	8%	Highest-conviction; ECB-hike NIM tailwind
Satellite	Global defense	8%	Structural NATO/budget backlog
Satellite	Health care	6%	Cheap, low rate-sensitivity defensive
Satellite	Consumer staples / food	6%	Pricing power vs sticky inflation
Satellite	Energy (oil & gas)	5%	Tactical hedge vs ceasefire collapse
Satellite	US financials	4%	Curve steepening supports margins
Satellite	Rare earths / strategic metals	3%	Small thematic tilt; China caveat

Banks-plus-financials (12% combined) is the largest active bet. Technology and real estate carry no satellite weight, held below benchmark via the core — the funding source for the overweights. Blended trailing dividend yield is 1.9%, roughly double the 1.0% of the S&P 500; portfolio beta is 0.86 against MSCI World in EUR and 0.73 against the S&P 500 in EUR — market-like exposure with the intended value/defensive tilt.[1]

$$\mathrm{E}[R_p] = \sum_i w_i \cdot \mathrm{E}[R_i], \qquad \text{with } \sum_i w_i = 1$$

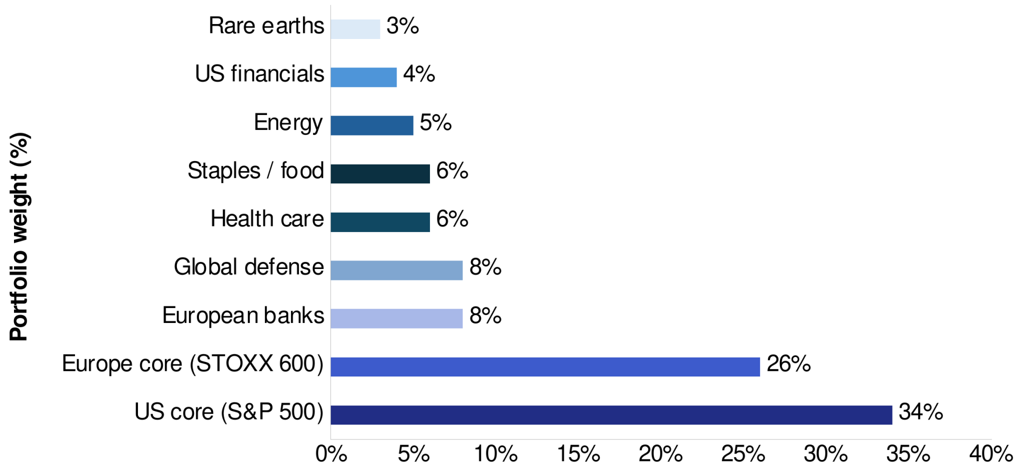

Figure 10: Recommended combined portfolio — 60% core / 40% satellites

7. Instrument List (IBKR-Deployable UCITS Vehicles)

Critical constraint: under EU PRIIPs/KID rules, US-domiciled ETFs (XLE, XLK, ITA, REMX-US) are generally not purchasable by EU-resident clients on Interactive Brokers. The list uses UCITS equivalents. "Verified" rows were checked against fund-provider/exchange data; "confirm" rows exist but need exact ISIN/listing confirmed in IBKR on deployment day.

Liquidity / cost: the verified core/bank/defense lines are large, liquid funds with tight spreads; the sector-sleeve and rare-earth lines are thinner — use limit orders and check spreads before sizing. Choose accumulating vs distributing share classes per the fund's tax preference (German- vs Irish-domiciled funds differ on withholding).

[1] Computed 24 July 2026 from Yahoo Finance listings of the Section 7 instruments at the table weights. Yield: weight × per-ETF trailing-12-month cash distributions over the last close, taken from the distributing German listings where available and from distributing same-index proxies (SPY, XLF, REMX) for accumulating share classes; the defense sleeve has no distributing twin, so the blend covers 92% of portfolio weight, renormalized. Beta: OLS of the weighted portfolio weekly EUR return series (Xetra listings, 104 weeks to 24 July 2026) on iShares Core MSCI World (EUNL.DE) and on the EUR-listed S&P 500 tracker (SXR8.DE); converting the S&P 500 index at spot EUR/USD instead gives 0.62, the difference reflecting asynchronous closing times.

Table 10: Instrument list — IBKR-deployable UCITS vehicles

Sleeve	Fund	Ticker	ISIN	TER	Status
US core	iShares Core S&P 500 UCITS ETF (Acc)	CSPX	IE00B5BMR087	0.07%	verified
Europe core	iShares STOXX Europe 600 UCITS ETF (DE)	EXSA	DE0002635307	0.20%	verified
EU banks	iShares STOXX Europe 600 Banks UCITS ETF (DE)	EXV1	DE000A0F5UJ7	0.47%	verified
Defense	HANetf Future of Defence UCITS ETF (Acc)	NATO	IE000OJ5TQP4	0.49%	verified
Rare earths	VanEck Rare Earth & Strategic Metals UCITS	VVMX	IE0002PG6CA6	0.59%	verified
Health care	iShares STOXX Europe 600 Health Care UCITS (DE)	EXV4	confirm	∼0.46%	confirm
Energy	iShares STOXX Europe 600 Oil & Gas UCITS (DE)	EXH1	confirm	∼0.47%	confirm
Staples / food	iShares STOXX Europe 600 Food & Beverage (DE)	confirm	confirm	∼0.47%	confirm
US financials	iShares S&P 500 Financials Sector UCITS ETF	confirm	confirm	∼0.15%	confirm

8. Risk Assessment

8.1 The central scenario: the peace path

The portfolio's largest active exposures make it, in net effect, a bet against a durable, rapid peace settlement — a conscious, stated position, not an accident of sector selection.

Scenario A — ceasefire holds (base case, but less certain after the 20–21 June Hormuz dispute). Oil settles into the $70s, inflation resumes its decline, the path reopens to easing. Energy and (less so) defense premiums compress; rate-sensitive underweights reverse and drag. This is what the portfolio is most exposed to. Mitigants: energy already cut to 5% and framed as a hedge; defense rests on backlog; the 60% core participates in any tech/RE recovery.

Scenario B — ceasefire collapses, Hormuz re-escalation. Oil spikes back, inflation re-accelerates, central banks move from holding into tightening. Energy and defense rip, banks benefit from higher-for-longer, underweights vindicated — the portfolio outperforms.

Directional sensitivity: with energy ∼5% and underweights via the core, a sustained $10–15 Brent move is meaningful but not dominant — sized so the portfolio tilts toward Scenario B rather than betting the book on it.

8.2 Secondary risks

- **Hawkish Fed surprise** — supports financials but pressures the core; offset by the value/defensive tilt.
- **Deeper European recession** — the genuine stagflation risk; hurts EU banks and the EU core; cushioned by the discount and dividend.

- **Defense budget delay** — backlog is multi-year but order timing can slip; sized at 8% to avoid single-point failure.
- **Dollar strength** — hurts rare-earths/commodity exposure; but continued dollar weakness helps EUR returns, so two-sided.
- **Rare-earths China concentration** — a China shock hits the vehicle; mitigated by the small 3% size.

8.3 What would make us wrong

A permanent, verified peace agreement (not just the 60-day interim), Hormuz fully reopened, and oil stabilizing in the $70s or lower. In that world the regime thesis weakens, and the portfolio should rotate toward the rate-sensitive sectors we currently underweight. The December rebalancing — or an earlier trigger — is the decisive point.

9. Monitoring Plan and Conclusion

Weekly watch items: Brent and US–Iran talks status; ECB/Fed communications and hike-expectation shifts (CME FedWatch, ECB-Watch); EUR/USD as a return driver; defense-budget news; satellite-ETF spreads/liquidity before resizing.

Pre-deployment checklist: (1) re-pull live oil price and ceasefire status on deployment morning; (2) approve the "confirm" instrument ISINs in IBKR; (3) refresh live forward-P/E and dividend figures and rescale weights to exactly 100%; (4) confirm accumulating vs distributing share-class preference.

To summarize the position: the portfolio holds a value- and defensive-tilted global equity sleeve, supported by income and built around a passive core. The satellites express a coherent late-cycle, higher-for-longer thesis through targeted, liquid UCITS instruments. Their sizing reflects a deliberate choice to lean into the regime without concentrating risk on a single outcome. That restraint is warranted. The defining variable of mid-2026 is still unwinding, and the balance of probabilities could shift materially in either direction before December.

Limitations

Macro figures are verified to the date of writing, but oil and the ceasefire move daily — re-check both at deployment. The four "confirm" instrument rows need exact ISINs verified in IBKR. Valuation and yield figures should be refreshed to live data on the start date rather than carried from the June-11 source snapshots.

Key Sources

Central Bank Policy

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